(a)

fiscal policy measures to control inflation

a) Reduction in unnecessary expenditure – govt should reduce unnecessary expenditure on non-devt activities

b) increase in taxes – personal, corporate & commod tax should be raised

c) public debt

d) Increase in saving

b) Repo rate is the rate at which the central bank of a country lends money to commercial banks in the event of any short fall of fund. Repo rate is used by monetary authorities to control inflation

During inflation:- central banks increase repo ra

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a) The Heckshers – ohlin theory says that co will export products that use their abundant cheap factor of pdn & import products th use the countries scarce resources.

Assumptions

1. 2 countries involved.
2. 2 factors of pdn. (labor & capital)
3. 2 commodities produced.
4. Perfect competition.
5. No trade restrictions